

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Department: DOH

Date: 5/15/2026

Bill Number: CSHB133

Short Title (as it appears on BASIS): Payment of Contracts

What action do you recommend the Governor take?

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

HB133 would impose significant administrative and fiscal burdens on the Department of Health (DOH). Exposure to interest penalties under the bill would be considerable, increasing both financial liabilities and administrative complexity for DOH.

HB133 requires only eight working days after receipt of the payment request to notify the agency that payment will be withheld for unsatisfactory performance. This timeline is too short for proper evaluation and integrity checks required by various federal partners.

The accounting system, IRIS, only tracks original invoice date. There is no mechanism to track an invoice that has been rectified. This would create exposure for the State as this legislation requires the Department of Administration to report payment timelines on their website.

What does this Bill do?

HB 133 establishes deadlines for state agencies to pay contractors, nonprofit organizations, municipalities, and Alaska Native organizations for completed work performed under contracts, grants, and reimbursement agreements. The bill requires payment within 45 calendar days beginning July 1, 2027, and tightens that requirement to 30 calendar days beginning July 1, 2028. If agencies fail to make timely payments, they must pay interest on overdue amounts. The bill also requires agencies to provide written notice within eight working days if payment is being withheld and explain what corrective actions are needed. Additionally, HB 133 requires overdue payments to be reported on the Department of Administration's website and requires agencies to report late payments to the legislature for calendar year 2026.

Why is this bill needed?

HB 133 is intended to address concerns regarding delayed state payments to nonprofit organizations, municipalities, and Alaska Native organizations.

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How does it specifically change department programs?

The Department of Health (DOH) will need to modify internal financial and procurement processes to ensure invoices, reimbursement requests, and grant payments are reviewed and processed within the statutory timelines. Agencies will also need procedures to:

- Track invoice receipt dates and payment deadlines;
- Provide written deficiency notices within eight working days when payment is withheld;
- Calculate and pay statutory interest on overdue payments when required;
- Monitor and report late payments for legislative reporting requirements; and
- Coordinate with the Department of Administration regarding public reporting requirements for overdue payments on the state financial transparency website.

These requirements may increase administrative workload and divert staff resources from program delivery and oversight responsibilities. DOH could face additional operational challenges meeting the statutory deadlines.

Note: The administrative burden to track interest, receipt dates, payment deadlines, provide notice, calculate interest, and process late payments could potentially delay payment further.

What is the anticipated impact on the public, the private sector?

Nonprofits, municipalities, and Alaska Native organizations believe that by improving payment predictability and reducing cash-flow uncertainty, however their grants are advanced per established processes. The private sector will not be impacted since AS 37.05.285 already addresses payment for state purchases for contracts. For the public, there may be concerns that the bill prioritizes procedural deadlines over careful financial oversight and program accountability.

Does this bill align with the priorities of Governor Dunleavy?

HB133 does not align with Governor Dunleavy's priorities as it expands administrative burden. The bill expands administrative requirements and creates potential new financial liabilities with interest penalties. HB 133 imposes deadlines that may not adequately account for the complexity of state payment processes, staffing limitations, federal funding requirements, or delays outside the Department's control. The bill creates additional administrative burdens and financial penalties without addressing underlying operational constraints that contribute to payment delays.

Detailed Sectional Analysis

Sec. 1 Amends AS 36.30.970 by adding a new section requiring a state agency to promptly pay a contractor for satisfactory service. Criteria are established for acceptable delays in payment and the protocol related to alerting a contractor to the reason for this delay. This section provides several timelines for the accrual of interest on late payments: late payments will begin to accrue interest on the forty-sixth calendar day after invoice, and a reasonably delayed payment will begin to accrue interest on the forty-sixth calendar day after resolution on the contract has been found.

Sec. 2 Provides for the accrual of interest on late payments: late payments will begin to accrue interest on the thirty-first calendar day after the agency receives a payment request from the

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contractor that complies with the contract.

- Sec. 3 Provides an interest rate per AS 45.45.010(a) from the thirty-first day after the date the agency receives the payment request if a contractor is not paid.
- Sec 4 For payments that are withheld due to unsatisfactory performance or if the payment request does not comply with the requirements of the contract, DOH would be required to pay within thirty days after the contractor completes identified remedial actions or pay interest beginning the thirty-first day.
- Sec 5 Creates a new law, “Payment Rules for Grants and Reimbursement Agreements,” that applies to nonprofits, municipalities, and Alaska Native Organizations; requires payment within forty-five days of a valid request; and provides stipulations if federal funds are involved; requires interest on late payments; establishes a 8-day notice requirement if payments are withheld; requires payment within forty-five days after corrective actions are completed; and provides definitions.
- Sec 6 Provides for the accrual of interest on late payments: late payments will begin to accrue interest on the thirty-first calendar day after the agency receives a payment request from the contractor that complies with the grant or reimbursement agreement. Provides stipulations if DOH uses federal funds.
- Sec 7 Provides an interest rate per AS 45.45.010(a) from the thirty-first day after the date the agency receives the payment request from a nonprofit organization, municipality, or Alaska Native Organization.
- Sec 8 For payments that are withheld due to unsatisfactory performance or if the payment request does not comply with the requirements of the grant or reimbursement agreement, DOH would be required to pay within thirty days after the nonprofit organization, municipality, or Alaska Native Organization completes identified remedial actions or pay interest beginning the thirty-first day.
- Sec 9 Requires DOA to report on its website payments made to contractors, nonprofit organizations, municipalities, and Alaska Native Organizations whether a payment was made in thirty or more days after the payment was due.
- Sec 10 Requires the Department of Administration to maintain a website of overdue payments and update it monthly and annually and store the information for ten years.

Note: There is no effective date for this section.

- Sec 11 Adds a report to the legislature due on the first day of the First Regular Session of the Thirty-Fifth Alaska State Legislature detailing the number of late payments by DOH in 2026 to non-profit organizations, municipalities, Alaska Native organizations, and contractors for reimbursement agreements, grants, and contracts. The report must provide the reason the payments were late and the length of the delays and a list of payments owed.

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Sec 12 Section 11 effective date is immediate.

Sec 13 Sections 1 and 5 are effective July 1, 2027.

Sec 14 Sections 2-4 and 6-8 are effective July 1, 2028.

Companion or Similar Bills

SB 129 Payment of Contracts by Senator Kawasaki

Support/Opposition of the Bill

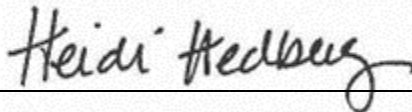
Support:

Alaska Aids Association, Alaska Municipal League, Aleutians East Borough, Anchorage Neighborhood Health Center, Alaska Commission on Aging, Alaska Network on Domestic Violence and Sexual Assault, Boys and Girls Club Southcentral, Children's Trust, City of Toksook Bay, Hope Community Resources, Kechemak Heritage Land Trust, The Foraker Group, Mat-Su Health Foundation, Presbyterian Hospitality House, Teamsters Local 959, thread, Tundra Women's Coalition, United Way, Wostmann Associates

Bill Signing ceremony suggestions (if applicable)

N/a

Commissioner's Signature: _____



Date: 5/15/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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